

have ample data about economic and financial forecasts—from general data about large economic variables to the forecasts and market calls of the television “experts” or “authorities.” The abundance of such data and the ability to process it on a computer make the subject invaluable for an empiricist. If I had been a journalist, or, God forbid, a historian, I would have had a far more difficult time testing the predictive effectiveness of these verbal discussions. You cannot process verbal commentaries with a computer—at least not so easily. Furthermore, many economists naïvely make the mistake of producing a lot of forecasts concerning many variables, giving us a database of economists and variables, which enables us to see whether some economists are better than others (there is no consequential difference) or if there are certain variables for which they are more competent (alas, none that are meaningful).

I was in a seat to observe from very close our ability to predict. In my full-time trader days, a couple of times a week, at 8:30 A.M., my screen would flash some economic number released by the Department of Commerce, or Treasury, or Trade, or some such honorable institution. I never had a clue about what these numbers meant and never saw any need to invest energy in finding out. So I would not have cared the least about them except that people got all excited and talked quite a bit about what these figures were going to mean, pouring verbal sauce around the forecasts. Among such numbers you have the Consumer Price Index (CPI), Nonfarm Payrolls (changes in the number of employed individuals), the Index of Leading Economic Indicators, Sales of Durable Goods (dubbed “doable girls” by traders), the Gross Domestic Product (the most important one), and many more that generate different levels of excitement depending on their presence in the discourse.

The data vendors allow you to take a peek at forecasts by “leading economists,” people (in suits) who work for the venerable institutions, such as J. P. Morgan Chase or Morgan Stanley. You can watch these economists talk, theorizing eloquently and convincingly. Most of them earn seven figures and they rank as stars, with teams of researchers crunching numbers and projections. But the stars are foolish enough to publish their projected numbers, right there, for posterity to observe and assess their degree of competence.

Worse yet, many financial institutions produce booklets every year-end called “Outlook for 200X,” reading into the following year. Of course they do not check how their previous forecasts fared *after* they were formulated. The public might have been even more foolish in buying the arguments without requiring the following simple tests—easy though they are, very few of them have been done. One elementary empirical test is to compare these star economists to a hypothetical cabdriver (the equivalent of Mikhail from